

Halliburton 20 Rules of Contractor Responsibilities

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HALLIBURTON

20 Rules of Contractor's Responsibilities - Summary

- Overview of Halliburton's Contractor Management (HCM) Program
- Contractor's Responsibilities
- Halliburton's 20 Rules
- Training Expectations
- Acknowledgement Form

Halliburton's Contractor Management Program - Overview

What is Halliburton's Contractor Management (HCM) Program?

Halliburton's Contractor Management Program is to establish requirements for ensuring that work undertaken by Contractors and Subcontractors is carried out in a way that adequately controls risk of health and safety of those who may be affected. It defines the requirements for: (1) Contractors and Subcontractors performing services on Halliburton Facilities (owned or leased) or Halliburton Customer Facilities (2) appropriately allocating risk of personal injury, death and property loss in connection with the performance of those services; and (3) to evaluate the suitability of Contractors and Subcontractors based on their health, safety and environment (HSE) performance and their safety program.

What are the requirements of HCM?

Halliburton's Contractor Management requires execution to the same focus; starting with Halliburton's 20 Rules of Contractor Responsibilities.

Halliburton's 20 Rules of Contractor Responsibilities is an introduction and overview of Halliburton's minimum HSE standard requirements.

Contractor Responsibilities

Project/Work Specific HSE Plan

The Contractor must ensure all work is planned to remove or safeguard all known hazards.
The Contractor must submit a Project/Work Specific HSE Plan.

The HSE plan should **also** detail expected behaviors, identified hazards and development of appropriate work procedures before beginning work. If any unexpected hazard occurs, stop work until the hazard is removed or safeguarded.

Communication of the HSE Plan to Employees

The Contractor will communicate the proper instructions to each employee as it applies to the task the employees are about to perform.



Contractor Responsibilities

Communication of the Halliburton HSE Plan

The Contractor is expected to establish effective communication with Halliburton's representatives and maintain the communication (i.e. expected behaviors, roles, and responsibilities) throughout the job.

It is the Contractor's responsibility to independently verify and acknowledge the Scope of Work as well as familiarize themselves with the project, worksite, and any worksite conditions, potential risks, and safety requirements.

It is the Contractor's responsibility to complete their Job Safety Analysis (JSA) and Permit to Work (PTW) to mitigate risks associated with their work.

The Contractor must continually communicate with their personnel, sub-Contractors and Halliburton's Point of Contact to improve safety and environmental performance. They should question any request from Halliburton that they consider to create risk or potential harm to the environment. Identified unsafe conditions must be promptly corrected or properly safeguarded.

The Contractor will ensure that records are kept that document the personnel that have reviewed and understood Halliburton Rules of Contractor Responsibilities.

Contractor Responsibilities, cont'd

Safety Meetings

The Contractor must hold on-the-job safety meetings (tailgate or toolbox) daily and as required by work conditions or shift changes. Additional meetings may be required anytime a non-routine job is performed or a significant change in work scope activities occur.

Training

The Contractor will ensure all employees are trained to respond safely to identified hazards.

Incident Reporting

The Contractor must immediately report and fully investigate all incidents and provide a written report of incident and the root causes, and corrective action plan (steps taken to prevent another incident).

Contractor Employee Responsibilities

All contractor employees, including sub-contractors shall comply with the contents of this presentation.

Incident Reporting

All contractor employees shall immediately report any incidents (accident, spill, etc.), regardless of the nature, to their appointed Contractor representative.

Emergency Response and Safety Data Sheets

All contractor employees are expected to be familiar with emergency response plans for the location they are working on. Contractors may be requested to participate in emergency drills while on a Halliburton facility or location.

The Contractor will provide employees access to adequate intrinsically safe (as required) communication tools (phone, radio, etc.) to use in case of an emergency.

Safety Data Sheet review is required prior to handling chemical products and following all proper handling procedures including the use of appropriate PPE.

Contractor Employee Responsibilities

- Every contractor employee must comply with all applicable federal, state, and local laws, rules, regulations, and ordinances.
- All contractor employees shall report any unsafe conditions or practices immediately to their appointed Contractor representative.
- All contractor employees must inspect personal safety equipment and report any problems. Defective personal safety equipment shall be immediately removed from service and repaired or replaced.

Stop Work Authority

- Halliburton utilizes Stop Work Authority.
- This means that IF anyone identifies hazards that could potentially lead to an accident or serious incident, then they have the authority to Stop Work, until the hazards have been eliminated.
- Some of these hazards can include but not limited to:
  - Conditions that are dangerous or potentially dangerous i.e. not wearing PPE
  - Non-conformance to Halliburton standards
  - Conformance cannot be verified
- **If in Doubt, Stop Work!**

If you are told to Stop Work, you must comply with the Stop Work Authority and discontinue all work until the hazard(s) have been eliminated and it is safe to continue.

Rule #1: Report all Incidents Immediately

Halliburton requires that all incidents or any changes to an employee's health be reported immediately to the Halliburton Point of Contact. Examples include:

- Work-related injury, illness or exposure
- Environmental incidents
- Chemical spills
- Equipment incidents
- Property or equipment damages
- Near Misses (An event where the potential for an incident was present due to an event that occurred, even though there was no damage or injury due to timing or distance.

This data helps Halliburton in understanding current hazards and making improvements to prevent future incidents or events.

Rule #2: Illegal Drugs, Alcohol & Weapons

- The use, possession, transportation, promotion or sale of illegal drugs, controlled substances, drug paraphernalia, alcoholic beverages, firearms, explosives, or weapons in any office, work location, vehicle, vessel, or facility by Halliburton Contractors and sub-contractors while performing work for Halliburton is strictly prohibited.

- Halliburton reserves the right to carry out reasonable searches of individuals and their personal effects while on Halliburton premises. These searches may be conducted without prior announcement and at such times and locations as deemed appropriate by Halliburton.

- Halliburton prohibits all persons from possessing weapons on Company property or while engaged in Company related activities.

- Halliburton prohibits all persons engaged in Company related activities from taking weapons onto customer property, including, but not limited to, customer-owned or leased parking areas.

Rule #3: Driving and Vehicle Safety

- All personnel shall wear seat belts at all times when a vehicle or equipment is in motion. Personnel transportation in beds of pick-ups is strictly prohibited on Halliburton sites.
- Use of mobile electronic devices (including hands-free devices) or stereo headphones during the operation of a vehicle or equipment while on Halliburton property is prohibited. If you need to talk or text on the cell phone, pull over to the side, stop your vehicle and then talk or text.
- Drive at a safe and reasonable speed and obey all posted signs.
- DO NOT block fire lanes, fire hydrants, or driveways.
- Driving while under the influence of alcohol or drugs is prohibited.
- Park vehicles in areas as designated by the appointed Halliburton Point of Contact

Rule #4: Personal Protective Equipment (PPE)

- Strict adherence to all required Personal Protective Equipment (PPE) is mandatory, specific PPE requirements will be based on job type or tasks performed.

- Contractor employees working on Halliburton premises must wear appropriate personal protective equipment. Excessively loose-fitting clothing is prohibited especially around rotating or moving equipment.

- The use of rings, neck chains or loose jewelry may be limited, consult the Halliburton Point of Contact for local requirements prior to commencing the job.

- PPE requirements recommended by the job task and as designated on the Safety Data Sheets (SDS) for the product being handled shall be strictly followed.

- **Site Specific Requirements:**
  - **"Minimum PPE"** will be worn by all personnel working on location when not in a "designated safe area". (safe areas will be posted)
  - **"Minimum PPE" is:** hard hat (if required), safety footwear (steel toed), safety glasses. Additional site-specific or location-specific PPE such as hearing protection will be designated and posted in those areas as required.

Rule #5: Safe Housekeeping

- The contractor's work space shall be kept clean and neat, free of clutter and trash, so work may proceed in a safe and orderly manner. Tools should be safely positioned during use and promptly put away when no longer required. Walk paths, sidewalks, driveways, and hallways shall be kept clear and free of debris, unless work permits otherwise.

- Clearly identify fire-fighting equipment, spill response kits, emergency shut down devices, and life-saving devices. The path to this equipment must not be blocked or obstructed in any way.

- Only approved equipment shall be used in locations where flammable mixtures are present. A Hot Work Permit is required when open flames, welding, soldering, hot tapping, or electric arcs are present in the work area where flammable materials are being stored or used.

Rule #6: Smoking

- Smoking is only allowed in designated smoking areas, otherwise no smoking will be allowed in work areas.
- At some Halliburton locations, safety matches or lighters with an enclosed sparking mechanism may be required in the designated smoking area.

Rule #7: Adverse Weather Conditions

- Halliburton expects Contractors to use good judgment when weather conditions create a potentially unsafe working environment.
- In the event of an inclement weather alarm, seek immediate shelter and evacuate to interior restrooms, hallways, enclosed stairwells or rooms without windows. Note: if you can do so safely ensure that all power tools, hot work, and any other potential hazards are discontinued immediately and the area is left safe.
- Notify the Halliburton Point of Contact immediately if developing weather conditions could possibly interfere with safe delivery of products and services.

Rule #8: Emergency Response Awareness

- All Halliburton work sites operate under a comprehensive Emergency Response Plan. Contractors should review the Halliburton site Emergency Response Plan as well as their own emergency procedures as stated in the Contractor Project/Work Specific HSE Plan. This information must be communicated to all Contractor and Sub-Contractor employees.
- It is recommended that the Contractor maintain a copy of the Halliburton Emergency Response Plan while performing work on location.
- All Contractors and Sub-Contractors are to familiarize themselves with their location in relation to the nearest evacuation, mustering point(s), shelter in place point(s), and fire fighting equipment.
- In the event of an alarm, all Contractors and Sub-Contractors shall immediately evacuate the area and assemble at designated mustering locations. Note: if you can do so safely ensure that all power tools, hot work, and any other potential hazards are discontinued immediately and the area is left safe.

Rule #9: Security

- Contractors will be responsible for their own equipment and held accountable for controlling the actions of their personnel while on Halliburton premises.
- Contractor shall not bring unauthorized individuals onto Halliburton premises, i.e., friends, relatives, or other observers.
- If site requirements dictate it, all contractors must sign or check in and out with site Security
- Contractor shall observe Halliburton requirements for site security; i.e., restricted personal areas, closed and locked doors, gates, etc.

Rule #10: Respiratory Protection

- Respiratory protection is required when working in areas where respiratory hazards are present. In certain areas, on certain job sites and at some Halliburton locations, the required use of respiratory protection is necessary and will be posted. In some cases, it may be necessary to consult the product SDS prior to commencing work in the affected area.

- The use of chemical materials that cause a need to wear respiratory protection must be communicated to the Halliburton Point of Contact so necessary communication and risk mitigation to other affected personnel can be made.

- In areas where respiratory protection may be required, the employee should not have facial hair that will interfere with the seal of respiratory equipment.

    - **Note:** Some Halliburton and customer locations have a local policy addressing facial hair. Consult the local Halliburton Point of Contact for Facial Hair Guidelines or policy for the area.

Rule #11: Work Permits

It is the responsibility of the Contractor to understand and use the appropriate Permits to Work, and to verify any permit requirements at the location.

- Certain job tasks are required to be permitted,. Contractors performing hot work, such as welding, grinding, cutting or using open flame, etc., are required to complete a hot work permit.
- Confined Space entry poses a potential for immediate danger to life and health. Work requiring entry into spaces designated as Permit-Required Spaces will require the Contractor to complete a Confined Space Entry Permit.

Examples of operations requiring a Permit to Work may include; but are not limited to:

- Hot Work
- Lockout/Tagout
- Excavation and Trenching
- DROPs
- Confined Space Entry
- Critical Lifting
- Electrical Work
- Working on Elevated Surfaces
- Asbestos abatement

Rule #12: Fall Protection

- All Contractors and Sub-Contractor employees shall be protected from falling when working on a surface that has an unprotected side or edge which is 4 feet (1.2 m) or more above an adjacent lower level surface or when working from aerial lifts or other elevated work platforms and lifts (exception: when working with portable ladders).
  - The minimum requirements for fall protection shall be a full body harness, shock absorber, double locking snap hooks, and lanyard attached to a stationary support. Other fall protection systems (i.e. guardrails, inertia reel, a cable-grabbing device) can be used with prior approval of the Halliburton Point of Contact.

- Fall Protection is required at all times regardless of height when an immediate danger exists below the working surface (for example over dangerous/hazardous machinery) and no guard rails are present.
- For situations where it is necessary to unhook to change locations, secondary safety line or equipment shall be provided by the Contractor to individuals climbing or working above the working surface to insure they are properly protected from falls at all times.

Rule #13: Unprofessional Behavior

- Horseplay, practical jokes, or any type of harassment are prohibited while on Halliburton premises.
- Running on the job site is allowed ONLY in extreme emergency situations.

Rule #14: Tools and Equipment

Unless agreed upon in contract terms and conditions, Contractors shall not use Halliburton equipment or vehicles. Nor shall the Contractor allow Halliburton employees to use the contractor's equipment or vehicles.

Hand Tools

- The hand tools should always be used for the intended purpose. For example, wrenches should not be used as a hammer, screwdrivers should not be used as a pry bar, and pipe wrenches should not be used on hex nuts, etc.
- Hand tools shall be kept in good condition. Hammer and chisel heads, hammer handles, pipe wrench jaws and cutting edges should be regularly inspected.
- Defective tools shall be immediately removed from service and repaired or replaced.

Power Tools

- Power tools shall be kept in good working condition.
- Safety guarding, safety switches, interlocks or other safety devices installed by the manufacturer on hand tools shall not be removed, adjusted, or defeated in any manner.
- Grinder wheels shall be properly rated for the speed of the grinder, with guards in place without modification.
- Power hand tools and extensions cords must be in good working condition and have proper grounding.

Remember

- Cords and cables shall not have worn, frayed or damaged areas that would expose employees to an electrical hazard. Use of equipment with repaired cords is prohibited.

Rule #15: Lockout / Tagout

Lockout/Tagout (LOTO):

Lockout/Tagout must be used to secure all power sources when performing maintenance or service on equipment. Types of energy include: electrical, pneumatic, hydraulic, thermal, chemical and all forms of potential stored energy.

Contractors are expected to work with the facility to ensure the Contractor's written LOTO Project Specific Plan contains the following LOTO criteria:

- A list of which Contractors and/or Sub-Contractors authorized to apply LOTO procedures.
- A description of how and when training on the site specific program will be delivered.
- A process/procedure for sharing project-specific LOTO information to Halliburton personnel
- A procedure for removing and reapplying lockout / tagout devices during shift change
- Procedures detailing specific instructions for machines and/or equipment subject to LOTO
- A description of the identification system used for LOTO devices to be used at the facility.
- A procedure for abandoned lock removal
- Procedures for utilizing group lockout devices (as applicable)
- A requirement detailing proper usage for fortress keys (as applicable)
- A requirement for discipline for those Contractors and/or Sub-Contractors who knowingly and willfully deviate from the requirements set forth in the program.

Rule #16: Environmental Responsibilities

Spill Prevention

Where applicable, in many Halliburton locations, Spill Prevention, Control and Countermeasure (SPCC) and Emergency Response plans have been developed to comply with environmental regulations. If a spill or release results from the work your company is performing, implement initial contingency plans and contact the Halliburton representative immediately.

- Contractors performing operations on Halliburton premises will be responsible for addressing the remediation of all spills, leaks, etc., including removing and/or addressing contaminated soils resulting from their operations

Chemical Management

Chemicals must be properly labeled, stored in appropriate containers and staged properly to minimize the chance of spills or improper use. At a minimum, all chemical handling, transport and storage methods should comply with requirements of local, regional and country regulations.

Storage tanks, pumps and other ancillary equipment containing flammable chemicals shall be grounded and bonded.

Bonding and grounding cables shall have been checked for continuity.

Rule #16: Environmental Responsibilities, cont'd

Waste Management

Proper disposal of Contractor generated waste is the responsibility of the Contractor. Every effort should be made to recycle, reuse or reduce wastes from Contractor activities. At a minimum all waste disposal activities should comply with all local, regional and country regulations.

Water, Wastewater and Air Emissions

All water, wastewater and air emissions should comply with all applicable local, regional and country regulations. Every effort should be taken to minimize or reduce wastewater and air emissions.

Contractors working on Halliburton premises are responsible for taking the necessary steps to minimize and prevent pollution.

Rule #17: Forklifts and Equipment

Forklifts

- Operators shall be certified to operate forklifts and heavy equipment.
- Seat belts shall be worn at all times the equipment is in motion.
- Operators may not use mobile devices such as cell phones (including hands-free) at any time while operating equipment.
- Riders are not permitted.
- Forklifts must be equipped with a backup alarm.
- When unattended, forks shall be fully lowered, power shall be shut off, keys removed, brakes set and wheels chocked if necessary.
- If the truck is equipped with front-end attachments other than factory-installed attachments, the Contractor shall obtain written approval from the truck manufacturer prior to using the attachment. The truck shall be marked to identify the attachments and show the approximate weight of the truck and attachment combination, and capacity of the truck and attachment combination at maximum elevation of the load engaging means with the load laterally centered.

Rule #18: Ladder and Scaffolding Safety

Ladder Safety:

- A Ladder should always be used to reach objects or areas not readily accessible to the person's reach.
- Users shall visually assess their work and determine the type of ladder that best suits their needs and safety and ladders shall be used only for their intended purpose.
- Stepladders longer than 20 feet (6 meters) shall not be used, Do not use portable extension ladders longer than 60 feet (18 meters).
- Where appropriate, all ladders must be secured in place (tied off) before work begins.
- All ladders shall be inspected before use. Any damaged or unsafe ladders whether supplied by Halliburton or Contractor shall be reported to the Halliburton representative, tagged, and taken out of service.
- Ladders shall be constructed with commercial grade material (material built or designed for industrial use) or carry a commercial rating from an accredited organization such as the American Ladder Institute or ANSI.

Scaffolding:

- Scaffolding may be used when appropriate.
- Scaffolds other than mobile scaffolds shall not be altered or moved horizontally while they are in use or occupied.
- Scaffolds shall not be loaded in excess of the working load for which they are intended.
- Scaffolds shall be secured to permanent structures, through use of anchor bolts, reveal bolts or other equivalent means.
- Climbing or working from the handrail, mid-rail, or brace members of the scaffolding is prohibited.
- Materials being hoisted onto a scaffold shall have a tag line.
- Authorizes persons shall only be responsible for use of the embankment with regard to scaffolding.

Rule #19: Electrical Safety & Power Lines

Electrical Safety & Power Lines:

- A qualified electrician using appropriate PPE shall conduct all electrical work (including grounding) in accordance with the latest codes, standards, and regulations. Work permits may be required for certain job tasks, Contractor shall complete appropriate permits prior to commencing work.
- A qualified person, prior to beginning work, shall discharge all stored energy and must verify the equipment is de-energized and ensure proper lockout/tagout procedures are implemented prior to working on the equipment.
- Safe boundary requirements must be established prior to work commencing.
- All power lines shall be considered energized unless proper measures have been taken to de-energize, contact Halliburton representative when performing work near energized overhead power lines.

REMEMBER

- PPE must be selected based on the arc-flash hazard rating.
- Appropriate PPE shall be used by all Contractors, Contractor Employees and Sub-Contractors working within the Flash Protection Boundary.

  Note – PPE should be considered a last line of defense rather than a replacement for safe work practices or engineering controls that can reduce the exposure to arc-flash hazards. Electrical equipment must be placed in a electrically safe work condition whenever possible.

Rule #20: Lifting/Hoisting Devices and Cranes

Cranes & Sling Safety

- Only trained certified operators and riggers are allowed to conduct lifting and hoisting operations with cranes. The use of a crane or derrick to hoist employees onto a personnel platform is strictly prohibited.
- Proper inspection and determination of the load rating shall be conducted prior to use.
- If performing a Critical Lift, a Crane Critical Lift Permit to Work must be completed prior to work commencing.

Suspended Loads

- A safe distance must be maintained when a load is suspended in the air.
- Employees shall not go between the suspended load and other objects where they may be trapped or crushed.
- Non-conducting Tag Lines shall be used to control a suspended load.

Rule #20: Lifting/Hoisting Devices and Cranes, cont.

Dropped Objects

- Contractors, Contractor Employees and Sub-Contractors who are exposed to or create dropped object hazards while providing services at a Halliburton property of facility must be made aware of Halliburton's Dropped Objects Prevention Program.
- Contractors, Contractor Employees and Sub-Contractors must comply with an approved Dropped Objects Prevention Program (i.e. Contractor DROPS Program or Halliburton's DROPS Program whichever is more stringent)
- Dropped objects awareness shall be included as part of the pre-job hazard identification process and communicated to all Contractor Employees and Sub-Contractors working at the site or location.
    - Preparing Job Safety Analysis, communicating all applicable hazards, implementing controls and any other action necessary for the protection of employees and subcontractors.

Training Expectations

- All training must be complete before any contracted services are commenced at any Halliburton and/or Customer location. In addition, the Contractor shall adhere to the following:

  - Provide all required training for its personnel in order to perform their job safely and correctly .
  - For personnel that will operate at a rig site: H_2S (Opito or IADC accredited), First Aid and Fire Safety training is required.
  - Provide further training as required depending on the task.
  - Provide a training matrix for each position.

BEFORE WORK BEGINS….

- Has the 20 Rules of Contractor responsibilities acknowledgement form been completed?

- Has the Site-Specific Safety Plan been submitted to Procurement and approved by an HSE Representative?



Revision Summary

Date Issued	Rev No	Revised By	Summary of Key Revisions
27-NOV-2023	10	Nathan Gatewood/Pablo Solano	Administrative review, no changes made.
24.Aug.2023	9	James Wright/Nathan Gatewood	Administrative Review: Minor clerical updates. New template applied.
26.AUG.2021	8	Nathan Gatewood	Administrative Review: No changes needed
28.AUG.2018	7	Cassondra Garza	Document updated to align with updates to ST-GL-HAL-HSE-0605 and WM-GL-HAL-HSE-0605. Red indicates changed content.
26.MAR.2018	6	Cassondra Garza	Removed label “For Internal Use”
01.SEP.2016	5	Cassondra Garza	Removed “For internal use only” from the document.
19.AUG.2016	4	Cassondra Garza	Entire document updated to align with revised with the Contractor/Sub-Contractor Safety Standards (SD-GL-HAL-HSE-0605 and WM-GL-HAL-HSE-0605). Added Stop Work Authority, Hot Work, Emergency Response Awareness, Fall Protection, Forklifts, Ladder, and Scaffolding to match the revised standards. Added definition to Adverse Weather Conditions, use of Halliburton equipment or vehicles under tools and equipment, requirement for manufacturer-installed safety devices must not be removed or disabled in any manner under Power Tools, and Permit to Work for critical lifts under Lifting/Hosting devices.